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PURCHASE AGREEMENT, LEASE AND OPTION TO PURCHASE

THIS AGREEMENT (the "Agreement") is made and entered into this 11th day of July, 2002, by and between the **COUNTY OF BOULDER**, a body corporate and politic ("County") and **CEMEX, INC.** a Louisiana corporation ("Seller").

RECITALS

- A. Seller owns an interest in approximately 1594 acres of land located in Sections 9, 10, 15, 16 and 21, Township 3 North, Range 70 West, 6th P.M., in Boulder County, legally described on Exhibit A, and in the water rights described on Exhibit B (the "Water Rights"), both attached hereto and by this reference made a part of this Agreement (which land and water rights are hereinafter together called the "Entire Property").
- B. Seller's interest in the Entire Property is subject to the Term Deed recorded March 25, 1993, at Reception No. 01276718 in the real property records of Boulder County, Colorado (the "Term Deed"). Pursuant to the Term Deed, Marigold 41, a Colorado partnership ("Marigold") owns a reversionary interest in an undivided 50% interest in the Entire Property. County has contracted to purchase Marigold's interest in the Entire Property.
- C. Seller's interest in the Entire Property is also subject to the terms of the Cotenancy Agreement between Marigold and Seller (as successor to Southdown, Inc., a Louisiana corporation) recorded March 25, 1993, at Film 1808, Reception #01276720 of the real property records of Boulder County, Colorado, as amended by the Amendment to Cotenancy Agreement between Seller and Marigold, recorded August 10, 2001, at Reception No. 2186007 of the real property records of Boulder County (as so amended, the "Cotenancy Agreement").
- D. Seller's interest in the Entire Property is also subject to the terms of the Settlement Agreement dated March 16, 1993, among Seller, Marigold and other parties (the "Settlement Agreement").
- E. Subject to County's purchase of Marigold's interest in the Entire Property, the County desires to purchase from Seller and Seller desires to sell to the County portions of Seller's interest in the Entire Property and to grant County options to purchase the remainder of Seller's interest in the Entire Property. Seller and County intend to partition the Entire Property so that County will own fee simple interest in those parcels identified on Exhibit C as the County Property and legally described on Exhibit D and the appurtenant water rights, and Cemex will own fee simple interest in those parcels identified on Exhibit C as the Cemex Property and legally described on Exhibit E, and the appurtenant water rights. Exhibits C, D, and E are attached hereto and by this reference made a part of this Agreement. At the completion of the partition, County and Cemex shall each own approximately 800 acres of the Entire

Cemex Agreement

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Property and the cotenancy agreement shall be terminated. The general boundaries of the County Property shall be lands east of County Road 47 and north of the Supply Ditch, lands north of the seismic station, and a large portion of the western valley. Cemex will own the entrance road, quarry operations center, mine site, the corridor extending east and north of the Peiker-Dickens farm, and surrounding property consisting of approximately 613 acres (the "Operations Parcel"), the portion of the Entire Property located between the Bullock open space and North 53rd Street, consisting of approximately 153 acres (the "Development Parcel"), the corridor extending from the Development Parcel to the west boundary of the Entire Property (the "Annexation Corridor"), and the parcel extending south of Highway 66 and including the conveyor bridge over Highway 66 (the "Plant Entrance Parcel"). The Operations Parcel, the Development Parcel, the Annexation Corridor and the Plant Entrance Parcel collectively constitute the Cemex Property and are identified on Exhibit C and legally described on Exhibit E, attached hereto and by this reference made a part of this Agreement.

- F. The County shall also purchase from Cemex 11 development rights appurtenant to the Cemex Property and plat the 11 remaining development rights appurtenant to the Cemex Property as a block on the Development Parcel.
- G. Cemex shall grant County options to purchase the Operations Parcel, and the Development Parcel and the appurtenant water rights as provided below.

NOW, THEREFORE, in consideration of the recitals, promises, payments, covenants and undertakings hereinafter set forth, and other good and valuable consideration, which is hereby acknowledged and receipted for, the County and Seller agree as follows, to-wit:

PURCHASE PROVISIONS

1. Contingency. This Agreement is contingent upon the County closing on the purchase of Marigold's interest in the Entire Property simultaneously with or immediately before the closing scheduled between County and Seller described in paragraph 10. (The closing between Cemex and County described in Paragraph 10 is referred to herein as the "Closing"). If County fails to close with Marigold for any reason, this Agreement shall immediately terminate and the parties shall be released from all obligations hereunder.

2. Partition. Immediately following County's purchase of Marigold's interest in the Entire Property, County and Seller shall terminate the Cotenancy Agreement and partition the Entire Property as provided below. Cemex shall convey to County all of Cemex' right, title and interest in and to the County Property, as legally described on Exhibit D, and all appurtenant mineral rights, and water rights. County shall convey to Cemex all of County's right, title and interest in and to the Cemex Property, as legally described on Exhibit E, and all appurtenant mineral rights and water rights. The conveyances to effect the partition shall take place at Closing. Cemex shall combine the Plant Entrance Parcel with Cemex's property south of Highway 66 on one deed. If necessary to satisfy County Land Use regulations, Cemex shall apply for a Boundary Line Adjustment and the County shall process the application in association with the subdivision application described in Paragraph 22.

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3. Survey. Cemex shall pay all costs for surveying the County Property and the Cemex Property, including the Operations Parcel, the Development Parcel, the Annexation Corridor, and the Plant Entrance Parcel, and shall provide copies of all survey work to County. Said survey shall be an exhibit map, based on the existing perimeter survey prepared by Drexel Barrell in 1985 with the interior lines for the division of the parcels platted based on computer information and without monumentation on the ground. Said survey shall be certified to the County, Cemex and the title company and the legal descriptions shall be provided to the County on or before the Closing, said legal descriptions to include a certificate of the acreage for each of the County Property, the Cemex Property, the Operations Parcel, the Development Parcel, the Annexation Corridor, and the Plant Entrance Parcel as determined by the surveyor, and based on the office calculations used to create the exhibit map.

4. Purchase and Transfer of Development Rights. Under current Boulder County Land Use regulations, there are 22 development rights appurtenant to the Cemex Property. County shall purchase eleven (11) development rights from Cemex at \$100,000.00 each for a total purchase price of \$1,100,000.00. The purchase of development rights shall close simultaneously with the partition and conveyance of property described in Paragraph 2, above. The remaining 11 development rights, 11 [number] of which are appurtenant to the Operations Parcel shall be platted as a block on the Development Parcel, as provided in Paragraph 22. The 11 development rights shall be available for residential units clustered on that portion of the Development Parcel located between the Bullock open space and N. 53rd Street, as generally shown on Exhibit C. To effect the transfer, the Operations Parcel shall be restricted by a Conservation Easement which will limit its use to agricultural, limestone mining, reclamation, wildlife and livestock purposes. At the Closing, Seller shall convey to County a conservation easement in gross over the northern 385 acres of the Operations Parcel lying north of an east-west line bisecting the parcel. The conservation easement shall be in the form of Exhibit F-1, attached hereto and by this reference made a part of this Agreement. When the 11 development rights are vested in accordance with Paragraph 22, Seller shall convey to County a conservation easement in gross over the entire Operations Parcel, in the form of Exhibit F-1.

5. Modification of Existing Agreements. At Closing, Seller and County shall execute mutual releases relating to the Settlement Agreement. Seller shall release County from the covenants contained in Sections 5.2, 5.3 and 5.4 of the Settlement Agreement, and to the extent any of these covenants have terminated due to the commencement of mining, confirm and ratify that such covenants no longer bind the County. Seller shall also release County from the covenants of Section 5.6(d) which relate to the Rabbit Mountain property the County previously purchased from Michael Dollaghan. County shall release Seller from the covenants of Section 5.6 of the Settlement Agreement. The parties shall also release each other from all remaining terms of the Term Deed, to the extent they continue in effect. In addition, at Closing, Seller shall waive any and all rights it may have to challenge the County's purchase of Marigold's interest in the Entire Property and Seller's interest in the Entire Property.

6. Earnest Money and Purchase Price. Within two business days after execution of this Agreement by the Board of County Commissioners of Boulder County, the County shall pay to the title company described in paragraph 7 below, ONE HUNDRED THOUSAND DOLLARS (\$100,000.00) as Earnest Money for the transactions described in this Agreement. The Earnest Money shall be applied to the purchase price for the development rights, and shall also secure the options described below. The purchase price for the development rights shall be payable in cash, certified funds or county warrant at Closing. If County fails to close on this transaction, County shall be obligated to pay Seller the Earnest Money and Seller shall be entitled to retain the Earnest Money as liquidated damages, as provided in Paragraph 11, below.

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7. Title Commitment. Seller shall furnish to County a title insurance commitment on the Entire Property, on a form acceptable to the County, from First American Heritage Title Company by Closing for review only and not for issuance of a title policy. Seller shall also furnish to County by the same date, a separate title insurance commitment, on a form acceptable to the County, to insure the County's ownership of the County Property and insuring the Conservation Easements and the options over the Operations Parcel and the Development Parcel in the amount of \$1,500,000.00. Seller shall be solely responsible for the cost of said title commitment and the County policy. Seller may order a title commitment, at its expense, to insure the Seller's ownership of the Cemex Property. County shall be responsible for complying with the requirements of the Seller's commitment to the extent such obligations relate to the County's purchase of Marigold's interest in the Entire Property, and partitioning of such interest to vest title to the Cemex Property in Seller.

8. Permitted Exceptions. Title to the Entire Property shall be merchantable in Seller, and the title commitment shall contain no exceptions other than:

- (a) taxes and assessments for the current year, which shall be adjusted and prorated to the date of delivery of the deed; and
- (b) exceptions 7-36 on First American Heritage Title Company commitment KC32344B02, dated June 13, 2002, and exceptions 21 and 22 on Exhibit B to the Term Deed.

Seller shall execute an affidavit and take all steps necessary to obtain the deletion of the standard printed exceptions, except that Seller shall have no obligation to obtain the deletion of the standard printed exceptions that are not normally deleted by title companies in Colorado without a sufficient survey.

9. Title Defects. If the title commitment includes additional exceptions which are not acceptable to the County, a written notice of the defects shall be given to the Seller by the County before Closing. If Seller agrees to attempt to correct such defects at Seller's expense on or before Closing. If Seller has not corrected such defects on or before Closing, the County, at its option, may complete the transaction notwithstanding the defects or may, upon notice to Seller in recordable form, declare this Agreement terminated, whereupon all payments made by County to Seller shall be returned to County and both parties shall be released herefrom.

10. Closing. Closing and delivery of the instruments described below shall take place on or before July 15, 2002, at 10:00 a.m. in the office of the title company which provides the title commitment described above, or at a time and place agreed to by the County and the Seller, provided it shall be concurrent with or immediately following the County's closing with Marigold. Settlement sheets for the closing shall be furnished by Seller to the County by Closing.

- (a) At the Closing, the Seller shall deliver to the County the following:
 - (i) A termination of the Cotenancy Agreement;
 - (ii) A fully good and sufficiently executed and acknowledged Special Warranty Deed conveying to the County all of Seller's right, title and interest in and to the County Property, free and clear of all liens, tenancies and encumbrances except those set forth in Paragraphs 8(a) and 8(b) of this Agreement;
 - (iii) Possession of the County Property, free and clear of all existing leases and tenancies except for the Seller's leaseback described below;

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- (iv) Documents acceptable to County and the title company evidencing the authority of Seller to execute this Agreement and to convey the County Property to the County;
 - (v) All instruments, certificates, affidavits, and other documents necessary to satisfy the Requirements listed on Schedule B-1 of the title commitment for conveyance of the County Property to the County;
 - (vi) A current update of the title commitment, at the Seller's expense, showing title subject only to the permitted exceptions determined by Paragraph 8. Seller shall cause the Title Company to issue to County its standard form Owner's Policy of Title Insurance insuring good and marketable title in County as to the Parcel being purchased, with the standard printed exceptions deleted, and subject only to the permitted exceptions as determined in Paragraph 8 of this Agreement;
 - (vi) A certification that the representations and warranties of Seller pursuant to Paragraph 12 hereof continue to be true and correct as of the closing;
 - (vii) Seller's closing costs which include Seller's portion of the pro-rated taxes and other assessments affecting the Entire Property, all incidental costs and fees customarily paid by Seller in Boulder County land transactions and one-half of the cost of any closing fee;
 - (viii) An affidavit as contemplated by the Internal Revenue Code Section 1445 as to the non-foreign person status of Seller;
 - (ix) An affidavit as contemplated by Paragraph 15 of a registered professional engineer, if required;
 - (x) Any other documents required by this Agreement to be delivered by Seller to Title Company or reasonably required by County or Title Company in connection herewith.
 - (xi) All documents necessary for conveyance of the Water Rights, as set forth in Paragraph 16.
 - (xii) The Conservation Easement over the Operations Parcel as described in Paragraph 4 of this Agreement.
 - (xiii) The Release from the terms of the Settlement Agreement and Term Deed described in Paragraph 5 of this Agreement.
 - (xiv) The Lease described in Paragraph 32 of this Agreement.
 - (xv) A deed and assignment for the transfer of the 11 development rights to the County.
- (b) At closing the County shall deliver to Seller:
- (i) The purchase price for the 11 development rights, offset by any closing adjustments and fees.

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- (ii) County's closing costs which include all incidental costs and fees customarily paid by Purchasers in Boulder County and one-half of the cost of any closing fee;
- (iii) The option payment of \$700,000.00 described in Paragraph 18.
- (iv) A termination of the Cotenancy Agreement;
- (v) A fully good and sufficiently executed and acknowledged Special Warranty Deed conveying to Seller all of the County's right, title and interest in and to the Cemex Property, free and clear of all liens, tenancies and encumbrances except those set forth in Paragraphs 8(a) and 8(b) of this Agreement;
- (vi) Possession of the Cemex Property, free and clear of all existing leases and tenancies, but subject to the Development Agreement and the terms of Special Use Permit 93-14;
- (vii) Documents acceptable to Seller and the title company evidencing the authority of County to execute this Agreement and to convey the Cemex Property to Seller;
- (viii) All instruments, certificates, affidavits, and other documents necessary to satisfy the Requirements listed on Schedule B-1 of the title commitment for conveyance of the Cemex Property to Cemex
- (ix) Any other documents required by this Agreement to be delivered by County to Title Company or reasonably required by Seller or Title Company in connection herewith.
- (x) All documents necessary for conveyance of the Water Rights, as set forth in Paragraph 16.
- (xi) The Release from the terms of the Settlement Agreement and Term Deed described in Paragraph 5 of this Agreement.
- (xii) The Lease described in Paragraph 32 of this Agreement.

11. Remedies. It is agreed that time is of the essence hereof. If the County should fail or default in prompt payment of the purchase price for the development rights or conveyance of the Cemex Property according to the terms and conditions of this Agreement, and such failure is not attributable to any failure by Seller to timely and fully perform all of Seller's obligations hereunder, Seller, at Seller's option, may in writing declare this Agreement terminated and retain all monies paid to Seller as liquidated damages. It is agreed that such payments are the Seller's sole and only remedy for County's failure to perform the obligations of this Agreement. Seller expressly waives the remedies of specific performance and additional damages. If Seller is in default, (1) County may elect to treat this Agreement as terminated, in which case all payments and things of value received hereunder shall be returned to County; or (2) County may elect to treat this Agreement as being in full force and effect, and County shall have the right to an action for specific performance or damages, or both. If this Agreement is terminated pursuant to this paragraph, then all options rights shall also terminate and the parties shall be released from all further obligations to perform under the option provisions set forth below.

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12. Representations And Warranties. Seller hereby represents and warrants to the County that to the best of Seller's knowledge as of the date of the signing of this Agreement:

- (a) Seller has received no notice of, and has no other knowledge of, any litigation, claim or proceeding, pending or currently threatened, which in any manner affects the Entire Property; and
- (b) Seller has received no notice, and has no other knowledge of, any current, existing violations of any federal, state or local law, code, ordinance, rule, regulation, or requirement affecting the Entire Property; and
- (c) Seller has the full right, power and authority to transfer and convey the County Property and the development rights, to the County as provided in this Agreement and to carry out the Seller's obligations under this Agreement; and
- (d) Each and every document, schedule, item and other information delivered or to be delivered by the Seller to the County hereunder, or made available to the County for inspection hereunder, shall be true, accurate and correct; and
- (e) Seller has not entered into any agreements with any private persons or entity or with any governmental or quasi-governmental entity with respect to the Entire Property that may result in liability or expenses to County upon the County's acquisition of all or any portion of the County Property; and
- (f) There are no special assessments which now burden or encumber the Entire Property and there are no special assessments currently proposed as to the Entire Property; and
- (g) The execution and delivery of this Agreement and the performance of all of the obligations of the Seller hereunder will not result in a breach of or constitute a default under any agreement entered into by the Seller or under any covenant or restriction affecting the Entire Property; and
- (h) There are no leases, tenancies or rental agreements relating to the Entire Property, or to any part thereof, which cannot be terminated by Seller on or prior to the date of closing of the transactions provided in the Agreement; and,
- (i) Seller has not granted or created, and has no knowledge of any third parties who may have the right to claim or assert any easement, right-of-way or claim of possession not shown by record, whether by grant, prescription, adverse possession or otherwise, as to any part of the Entire Property, except as to the leases described in Subparagraph h, above, if any; and
- (j) To the best of Seller's knowledge, no part of the Entire Property has ever been used as a landfill, and no materials have ever been stored or deposited upon the Entire Property which would under any applicable governmental law or regulation require that the Entire Property be treated or materials removed from the Entire Property prior to the use of the Entire Property for any purpose which would be permitted by law but for the existence of said materials on the Entire Property, except that the Entire Property is located within a three-mile radius of the Arapahoe Chemical Landfill, a storage site for low level chemical pollutants, and Seller makes no warranty to County regarding such Arapahoe Chemical Landfill site; and



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- (k) To the best of Seller's knowledge, no underground storage tank, as that term is defined by federal statute or Colorado statute, is located on the Entire Property which under applicable governmental law or regulation require such underground storage tank to be upgraded, modified, replaced, closed or removed; and
- (l) To the best of Seller's knowledge, Seller has not caused or permitted the release of any hazardous substance on the Entire Property. The terms "hazardous substance" and "release" as used herein shall have the same meaning and definition as set forth in Paragraphs (14), (22) and (23), respectively, of Title 42 U.S.C. Section 9601; provided, however, that the term "hazardous substance" as used herein also shall include "hazardous waste", as defined in Paragraph (5) of 42 U.S.C. Section 6903; and,
- (m) Seller has received no actual notice from any oil company or related business of any intention to conduct operations for the drilling of any oil or gas well on the Entire Property, whether such notice is in the form of a "thirty-day notice" under the rules of the Oil and Gas Conservation Commission of the State of Colorado, a notice to commence earthwork for drilling operations, a notice for the location of access roads, or any other notice of any kind related to the conduct of operations for such drilling.
- (n) Seller has no knowledge of any claims or purported claims of adverse possession pertaining to the Entire Property and/or any land adjacent thereto by reason of the location of any exterior boundary fence lines, or otherwise.

The Seller shall, at the time of closing, certify to the County in writing that the above and foregoing representations and warranties remain true and correct as of the date of closing.

13. Additional Remedies. In addition to all other rights and remedies of the County and the Seller as set forth and provided in this Agreement, the Seller agrees that the County shall have the right to terminate this Agreement and to make the same of no further force and effect:

- (a) If the representations and warranties of the Seller as set forth and provided for in Paragraph 12 are not true and correct as of the date of the Closing; or
- (b) If the Seller fails or refuses to provide the title insurance commitments and title insurance policies to the County within the time period and in the form and content required under the provisions of this Agreement; or
- (c) If any part of the Entire Property is condemned, or if proceedings for such condemnation are commenced or notice of condemnation is received by Seller from a condemning authority prior to the date of closing on any part of the Entire Property; or
- (d) If any of the standards/requirements provided for in Paragraphs 14 and/or 15 are not satisfied as of the date of Closing.

If the County terminates this Agreement pursuant to this provision, all sums paid hereunder by County to Seller shall be returned to County.

14. Inspection and Environmental Audit. At all reasonable times during the term of this Agreement, upon reasonable advance notice to Seller, County shall have access to the Entire Property for the purpose of conducting tests, studies and surveys thereon, including, without

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limitation, environmental audits, soil and subsoil tests. County may have performed at its option and/or expense the following inspections:

- (a) Soil and percolation tests;
- (b) Inspections for asbestos, PCB's, underground tanks, or other hazardous substances;
- (c) Any other tests and/or studies deemed necessary by County which do not materially damage the Property.

County has received an environmental assessment from Apex Consulting Services, dated July 10, 2002 (the "Phase I environmental audit"), and provided a copy to Seller. County shall promptly provide to Seller copies of the results of all additional tests, inspections, and studies following the receipt of same by County. Any inspections conducted by County shall not mitigate or otherwise affect Seller's representations and warranties, above. The Phase I environmental audit is satisfactory to the County. If there is no change in the condition of the Entire Property as of Closing, and no new environmental matters become apparent to the County before Closing, then County shall not object to the environmental condition of the Entire Property. If County's environmental investigations reveal any environmental matters that are not disclosed in the Phase I environmental audit, County shall give Seller written notice of the environmental defects by Closing. Seller agrees to attempt to correct such defects at Seller's expense by Closing. If Seller has not corrected such defects by Closing the County, at its option, may complete the transaction notwithstanding the defects or may, upon notice to Seller in recordable form, declare this Agreement terminated, whereupon all payments made by County to Seller shall be returned to County, and both parties released herefrom.

15. Underground Storage Tanks. If any underground tanks are located on the County Property, said tanks shall be removed by Seller at Seller's expense prior to the Closing. If any underground tanks are located on the Cemex Property, said tanks shall be removed by Seller at Seller's expense prior to the Closing on the County's option described below. If any underground tanks are removed prior to the closings pursuant to this Paragraph, Seller shall provide at the time of closing of each Parcel an affidavit, subscribed and sworn to by a registered professional engineer licensed in the State of Colorado and approved by the County, stating that the Property meets all applicable federal, state and local laws, regulations, and standards regarding such sites, including without limitation, the following standards:

- (a) No more than 75 parts per million total petroleum hydrocarbons in the soil using an analytical test/s which are standard in the industry for the detection of specific compound mentioned herein.
- (b) No more than 10 parts per million total petroleum hydrocarbons in ground water, other than drinking water, using an analytical test/s which are standard in the industry for the detection of the specific compound mentioned herein.
- (c) The BTEX (benzene, toluene, ethylbenzene and xylene) and the petroleum contaminants in the ground water shall not exceed the maximum contaminant levels for these components in the ground water as set forth by the state water quality provisions in effect at the time of the execution of this Agreement.

16. Conveyance of Water Rights. County and Seller shall exchange properly executed and acknowledged quit claim deeds conveying their respective interests in the water rights appurtenant to the Cemex Property and the County Property, respectively. The appurtenant water rights are the "Kuhn Seep" and any wells, springs, groundwater and nontributary water appurtenant to the Entire Cemex Agreement

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Property. The parties acknowledge that Seller owns units of Northern Colorado Water Conservancy District water that shall be retained by Seller and are not subject to this Agreement. Seller shall also retain the conditional storage right described in Case No. 83CW374, District Court, Water Division No. 1, provided that Seller shall agree that it will not use the County Property for storage pursuant to these rights, including the County Property and, if County exercises its options to purchase, the Operations Parcel and/or the Development Parcel. The parties shall execute appropriate documentation, including if necessary, a water court application to implement this provision. The parties also acknowledge that the Kuhn Seep may be destroyed during the course of Seller's mining and may no longer exist at the completion of mining and reclamation.

OPTION PROVISIONS

17. Grant of Options. In accordance with the terms and conditions herein contained, and in consideration of the payment of the Earnest Money identified in Paragraph 6 of this Agreement, the receipt of which is acknowledged, Seller hereby grants to the County two separate options to purchase the (a) Operations Parcel and (b) the Development Parcel (the "Options"). The Operations Parcel and the Development Parcel are sometimes referred to herein as the "Parcels" or the "Option Parcels".

18. Operations Parcel Option Price. At Closing, the County shall make an initial option payment of \$700,000 for the Operations Parcel. Thereafter, the County shall pay Seller \$50,000 each year on or before July 15, to continue the option until mining and reclamation of the Operations Parcel have been completed. The County shall have no obligation to make \$50,000 annual option payments after 2021. If County fails to make the option payment in any given year, Seller shall notify County in writing of the missed payment and County shall have a period of ten (10) business days in which to make the option payment. The option will terminate if County fails to make the annual option payment after Seller's notice and the ten business day period has elapsed. The purchase price for the Operations Parcel shall be \$1,500,000.00. The \$700,000 initial option payment and the \$50,000 annual option payments shall not be applied to the purchase price for the Operations Parcel. The Operations Parcel shall include surface and subsurface water, if any attached or appurtenant to or used in connection with the Operations Parcel and owned by the Seller, but shall exclude the excluded water rights described in Paragraph 16, and shall include any and all minerals appurtenant to the Operations Parcel and owned by the Seller.

19. Operations Parcel, Exercise of Option. Seller shall provide written notice to County within thirty (30) days after it has completed reclamation of the Operations Parcel and the bond for the Operations Parcel has been released by the State Division of Minerals and Geology. County shall have a period of sixty (60) days from receipt of Seller's notice of completion of reclamation to provide written notice to Seller of its exercise of the option to purchase the Operations Parcel. If County has not received notice by December 31, 2024, County shall have the option to proceed with the purchase of the Operations Parcel, within 60 days thereafter, regardless of whether mining and reclamation have been completed.

20. Development Parcel, Option Price. The purchase price for the Development Parcel and the 11 development rights attached as a block to the Development Parcel shall be as provided on Exhibit G, attached hereto and by this reference made a part of this Agreement. The Development Parcel shall include surface and subsurface water, if any attached or appurtenant to or used in connection with the Development Parcel and owned by the Seller (excluding the excluded rights described in Paragraph 16), and any and all minerals appurtenant to the Development Parcel and owned by the Seller. The consideration for the option on the Development Parcel and the 11 development rights shall be those payments made by County to Seller at the Closing in July, 2002.



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No additional option payments will be required to secure the option for the County. In any year, on or before the earlier of (a) the completion of mining and reclamation and the release of the bond by the State Division of Minerals and Geology or (b) December 31, 2024, the County shall have the option to purchase all or any number of the individual development rights attached to the Development Parcel at the price per unit set forth on Exhibit G. County shall have a period of sixty (60) days from receipt of Seller's notice of completion of reclamation to provide written notice to Seller of its exercise of the option to purchase the development rights and the Development Parcel. If the County purchases all 11 of the development rights, Seller shall convey the Development Parcel to County, at no additional cost, at the completion of mining and reclamation, but no later than December 31, 2024.

21. Development Parcel, Exercise of Option. At each closing of an option purchase of development rights, the Seller shall provide a letter agreement in recordable form, or other similar document, indicating the reduction in the number of development rights attached to the Development Parcel.

22. Platting of Development Rights. Seller shall submit a subdivision or subdivision exemption application to the County within six (6) months after Closing. The application shall provide for the platting of the 11 development rights as a block on a portion of the Development Parcel, and shall also identify the boundaries of the outlot(s) for the Development Parcel. The application shall be in a form sufficient to qualify as a site specific development plan as required for statutory vesting of the development rights. The platting process shall be subject to approval by the Board of County Commissioners, based on the Boulder County Land Use Code as it would apply to any other Development Block with a specified number of development rights approved but not platted as lots through an initial PUD application. Nothing in this Agreement shall be construed as guaranteeing Seller, its successors or assigns, the right to 11 development rights, or any greater or lesser number of development rights on the Development Parcel or as vesting such rights in Seller. The number of development rights and vesting to which the Seller is entitled shall be determined by the Board of County Commissioners of Boulder County based on the Boulder County Land Use Code in effect at the time of the submission of the application. If the County has not exercised its option to purchase all of the development rights by the earlier of completion of mining and reclamation or December 31, 2024, or if the development rights have not been otherwise conveyed to the County, then, subject to approval of the subdivision or subdivision exemption plat, Seller shall be entitled to plat 11 residential lots on the Development Parcel, or such lesser number of development rights that have not been conveyed to the County. The final platting of the remaining development rights shall be in the block approved by the County on the subdivision plat or exemption plat, provided the initial plat or exemption plat was approved by the County.

23. Default. If, following exercise of the Options hereunder, the County should default in the payment of said purchase price, or any part thereof, promptly as herein provided for, Seller may declare a forfeiture of this Agreement, all remaining option rights shall terminate and all amounts previously paid by the County pursuant to this Agreement shall be retained by Seller as liquidated damages and not as a penalty.

24. Recording of Quit Claim Deed. If the County forfeits its option rights as hereunder set forth, the County will execute promptly and deliver to Seller a quit claim deed or other instrument which will release from the provisions of this Agreement the parcels for which the Options were not exercised.

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25. Payments. Payments to Seller by County for the purchase of the Operations Parcel and the Development Parcel shall be in cash, certified funds or County Warrant at closing, subject to closing adjustments.

26. Option Title. As to each Option exercised by the County, Seller agrees to furnish to the County at least 30 days prior to closing a title insurance commitment in the amount of the purchase price for the particular option parcel, subject to the conditions and requirements set forth in Paragraphs 7-9 of this Agreement. Seller shall have the right to choose the title insurance company in its reasonable discretion. Seller agrees to pay for the issuance of said commitments and the owner's title insurance policies.

27. Option Representations. The Seller shall, at the time of closing on the Operations Parcel, and/or the Development Parcel, certify to the County in writing that the representations and warranties in Paragraph 12 of this Agreement remain true and correct as of the date of closing with respect to the Option parcel being purchased.

28. Option Remedies. If the representations and warranties of the Seller as set forth and provided in Paragraph 12 of this Agreement are not true and correct as of the date of closing of each Parcel, then the County, at its option and in addition to all other rights and remedies of the County as set forth and provided in this Agreement, may complete the transaction notwithstanding the fact that the representations and warranties are not true and correct as of the date of closing or, the County may, at its option and upon notice to Seller in recordable form, declare this Agreement terminated, whereupon any option payment made by County to Seller for any unpurchased Parcels shall be returned to County, and both parties released herefrom.

29. Option Closings. Closing and delivery of the deed for each of the Option Parcels shall be on a date within ninety (90) days after exercise of the option, or such other time and place as agreed to by the County and the Seller, and Seller and County shall deliver all items required by Paragraph 10 for the Parcel which is being purchased, except for any documents which relate solely to the initial Closing between County and Seller.

30. Annexation Corridor and Conservation Easement Over Remainder of Operations Parcel. Seller shall convey the Annexation Corridor to County, at no additional cost, if the County approves the platting of the 11 development rights as a block and vests the Seller's rights to build 11 single family residences on the Development Parcel, as provided in paragraph 22 above. The conveyance of the Annexation Corridor shall be by Special Warranty Deed and shall be provided to the County immediately following vesting of the 11 development rights. The Annexation Corridor shall become part of the County Property leased back to Seller under Paragraph 31. Seller shall also convey the Annexation Corridor to County, at no additional cost, if Seller fails to file an application for subdivision or subdivision exemption to Boulder County on or before January 15, 2003. In such case the conveyance of the Annexation Corridor to the County shall occur by February 1, 2003. Seller shall also convey to County a conservation easement in gross in the form of Exhibit F-1 over the Operations Parcel (including the northerly 385 acres already subject to a conservation easement) at the same time and subject to the same conditions for conveyance of the Annexation Corridor. If Seller has encumbered the Operations Parcel with any deeds of trust, mortgages or other financial encumbrances, it shall obtain subordination agreements from all secured parties, subordinating their encumbrances to the Conservation Easement on the Operations Parcel.

31. Lease to Seller. County hereby agrees to lease back to Seller, solely for agricultural purposes and for compliance with the mining permits for the Property, and Seller hereby agrees to lease from County the County Property and any improvements thereon. The term of such lease shall commence on the date of Closing and shall expire on the earlier of the completion of mining and reclamation of the Cemex Property or December 31, 2024.

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32. Execution of Lease. At Closing, County and Seller shall enter into a written lease agreement in the form of Exhibit H.

33. Real Estate Commission. Any real estate commission due to any broker, upon sale of any portion of the Entire Property shall be paid by Seller. The County represents and warrants to the Seller that the County is not a party to a contract which requires the payment of any real estate commission upon sale of any portion of the Entire Property to the County.

34. Access. To the extent reasonable practical, the County's access to the County Property shall be across existing County roads and along the west side of the County Property through the locked gate which services the Supply Canal. County shall provide reasonable advance notice to Seller if County requires temporary access through the mine site, and County shall comply with Seller's safety guidelines and requirements for such temporary access.

35. Property to Remain Unencumbered. Seller agrees that it will not, so long as this Agreement is in effect, encumber or burden the Entire Property or any part thereof without the consent of County, which consent shall not be unreasonably withheld. Seller further agrees that during the term of this Agreement and through the date of delivery of possession of the County Property to the County, Seller shall not develop the County Property in any manner, including without limitation, constructing any improvements or erecting any structures on the County Property, leasing mineral rights for the County Property, or disturbing the surface of the County Property.

36. Assignment. Seller shall not assign its rights and obligations hereunder unless County first consents thereto in writing, which consent shall not be unreasonably withheld. Seller agrees that so long as County is not in default hereunder, Seller shall not sell or convey any of the Entire Property except to County pursuant to this Agreement.

37. (i) Condemnation of the Entire Property Which is the Subject of This Agreement

If another governmental entity or agency, exercises its powers of eminent domain to acquire title to all of the property which County has the right to purchase pursuant to this Agreement, County shall, in such event, release its rights and option to purchase as to the property so condemned and shall make no claim as to the monies paid for the property so taken by the condemning authority. In the event of such a condemnation, the money so paid by the condemning authority for the property so taken shall be and become the sole and separate property of Seller. The provisions of this Paragraph shall not be construed, however, as precluding or preventing County from condemning any property which it is statutorily authorized to condemn.

(ii) Condemnation of a Portion of the Property Which is The Subject of This Agreement

If another governmental entity or agency, exercises its powers of eminent domain to acquire title to a portion of the property which is the subject of this Agreement, the County shall still retain the rights granted under this Agreement as to such of the property described in Exhibit D, the County water rights and the 8 development rights which are not taken by the condemnation and the option rights. In such event, the portion of the property which is not condemned shall remain subject to the terms of the Agreement. The purchase price of the portion of the property remaining subject to this Agreement shall be determined on a per acre basis, and/or a per development rights unit price, notwithstanding the consideration paid to Seller for the part of said Property taken by virtue of said eminent domain proceedings. If no per acre price is set forth the per acre price shall be determined by Cemex Agreement - 13 -



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dividing the total purchase price for each Parcel by the total acreage of each Parcel to determine a per acre price, and/or a unit/share price.

38. Tax Consequences. Seller acknowledges that neither the County, nor any of its agents or attorneys have made any representations as to the tax treatment to be accorded to this Agreement or to any proceeds thereof by the Internal Revenue Service under the Internal Revenue Code or by the tax officials of the State of Colorado under Colorado tax law.

39. Agreement to Survive Closing. The parties hereto agree that, except for such of the terms, conditions, covenants and agreements hereof which are, by their very nature fully and completely performed upon the closing of the purchase-sale transactions herein provided for, all of the terms, conditions, representations, warranties, covenants and agreements herein set forth and contained shall survive the closing of any purchase-sale transaction herein provided for and shall continue after said closing to be binding upon and inure to the benefit of the parties hereto, their successors and assigns.

40. Entire Agreement. This Agreement, including exhibits, contains the entire contract, understanding, and agreement between the parties and supersedes all prior understandings, warranties, representations, letters of intent, all of which are by execution hereof rendered null and void.

41. Notice. Whenever notice is required to be given hereunder, it shall be in writing and may be sent by facsimile delivered to the party entitled thereto or mailed to the party entitled thereto, by registered or certified mail, return receipt requested. If delivered or sent by facsimile, said notice shall be effective and complete upon delivery or transmission of the facsimile. If mailed, said notice shall be effective and complete as of the date of mailing. Until changed by notice in writing, notice shall be given as follows:

To the County:

The Director
Boulder County Parks and Open Space
P.O. Box 471
Boulder, Colorado 80306
Facsimile number: 303-441-4594

With a copy to:

The Boulder County Attorney's Office
Post Office Box 471
Boulder, Colorado 80306
Facsimile number: 303-441-4794

To the Seller:

Mr. Nolan Fry
Cemex, Inc.
1200 Smith Street, Suite 2400
Houston, Texas, 77002
Facsimile number: 713-653-8569

Mr. John Lohr
Cemex, Inc.
5134 Ute Highway (80503)
P.O. Box 529
Lyons, Colorado 80540
Facsimile number: 303-823-2199



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With a copy to:

Raymond L. Petros, Jr.
Petros & White
730 17th Street, Suite 820
Denver, Colorado 80202-3518
Facsimile number: 303-825-1983

42. Governing Law. The validity and effect of this Agreement shall be determined in accordance with the laws of the State of Colorado.

43. Counterparts. This Agreement may be executed in any number of counterparts, each of which shall be deemed an original, and all of which shall constitute one and the same agreement. Facsimile signatures shall be acceptable to and binding upon all parties.

44. Recording. This Agreement shall be recorded in the office of the Clerk and Recorder of Boulder County, Colorado.

45. Severability. If any part of this Agreement is found, decreed or held to be void or unenforceable such finding, decree or holding shall not affect the other remaining provisions of this Agreement which shall remain in full force and effect.

[Remainder of page intentionally left blank]



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IN WITNESS WHEREOF, Seller and County have executed this Agreement on the dates set forth in their respective acknowledgments intending that this Agreement be effective as of the day and year first above set forth.

COUNTY OF BOULDER,
a body corporate and politic

By: Jana L. Mendez
Jana L. Mendez, Chair

By: Paul D. Danish
Paul D. Danish, Vice-Chair

By: Ronald K. Stewart
Ronald K. Stewart, Commissioner

COUNTY OF BOULDER)
STATE OF COLORADO) ss.
)

The foregoing instrument was acknowledged before me this 11th day of July, 2002, by, Jana L. Mendez, Chair, Paul D. Danish, Vice-Chair Ronald K. Stewart, Commissioner, of the Board of County Commissioners of Boulder County.



Susan M. Ashcraft
Notary Public

My Commission Expires: 10-17-2005
My Commission Expires 10/17/2005



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CEMEX, INC., a Louisiana corporation

BY:

[Signature]

JESUS GONZALEZ HERRERA
EXECUTIVE VICE PRES.

STATE OF Texas)
) ss.
COUNTY OF Harris)

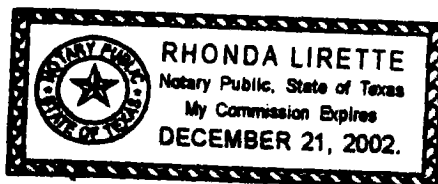
The foregoing instrument was acknowledged before me this 9th day of July, 2002, by Jesus Gonzalez Herrera as Executive Vice President of Cemex, Inc. a Louisiana corporation.

Witness my hand and official seal.

(S E A L)

[Signature]
Notary Public

My Commission Expires: 12/21/02





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EXHIBIT A
Legal Description for the Entire Property

The real property located in Boulder County, Colorado described on Exhibit A to the Term Deed recorded in the real property records of Boulder County, Colorado on March 25, 1993 on Film 1808 as Reception No. 01276718.



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Exhibit B
Water Rights

The water rights located in Boulder County, Colorado described on Exhibit B to the Term Deed recorded in the real property records of Boulder County, Colorado on March 25, 1993 on Film 1808 as Reception No. 01276718.



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Exhibit C
Parcel Map



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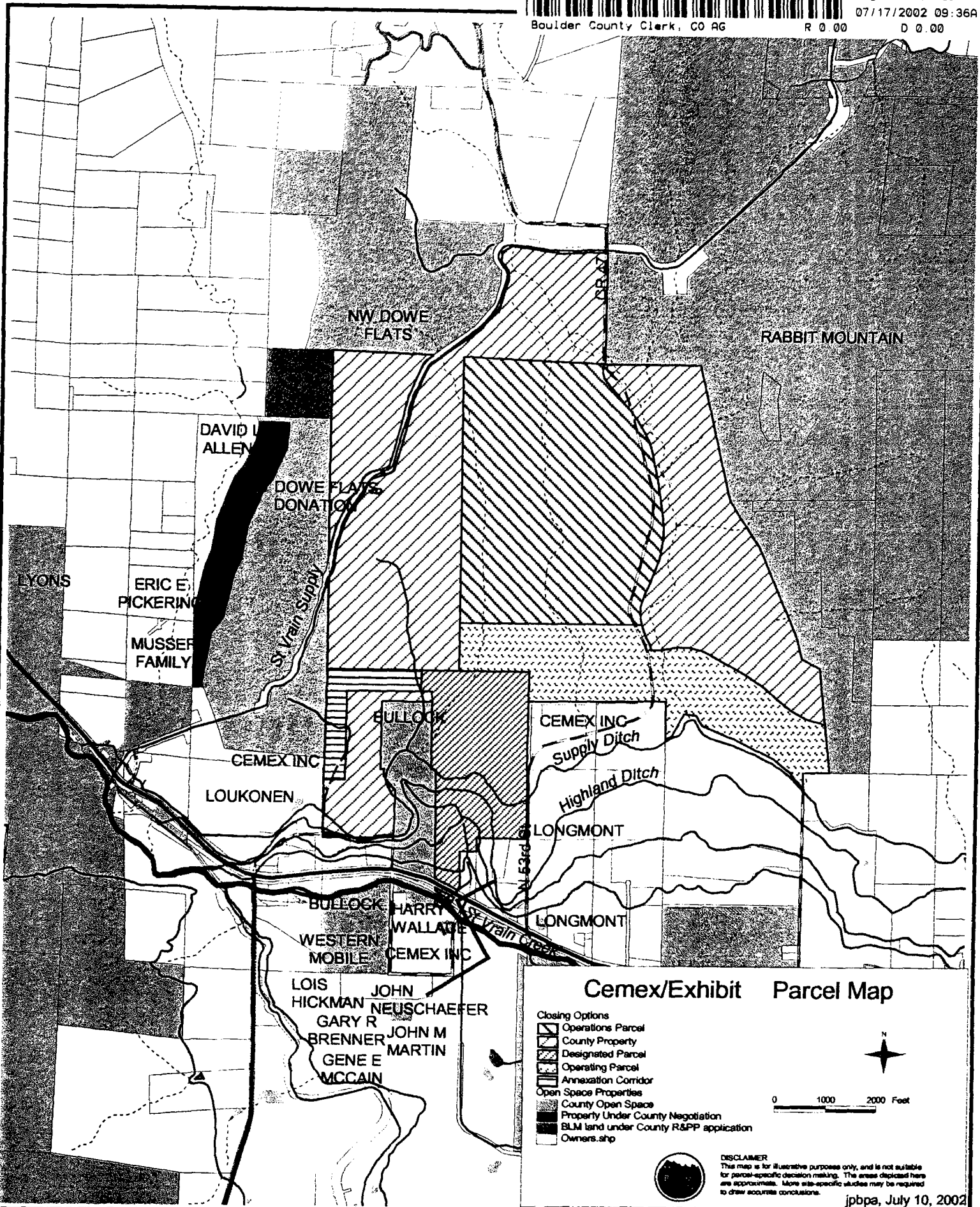
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EXHIBIT D to PURCHASE AGREEMENT
COUNTY PROPERTY

BOULDER COUNTY EAST PARCEL

A tract of land located in the SW1/4 of Section 10 and in Section 15, all in T3N, R70W of the 6th P.M., Boulder County, Colorado, described as follows:

Commencing at the Southeast Corner of Section 9, T3N, R70W of the 6th P.M., from which the S1/4 Corner of said Section 9 bears N87°27'25"W, 2644.89 feet, thence S51°33'47"E, 4965.84 feet to an Easterly Corner of the Mining Property as described in Exhibit A in Term Deed recorded on Film 1808 as Reception No. 1276718 of the records of Boulder County, Colorado, and the TRUE POINT OF BEGINNING;

Thence S61°53'26"E, 406.88 feet along the Easterly line of the Mining Property as described in Exhibit A on said Film 1808 as Reception No. 1276718;

Thence S05°48'06"E, 1111.23 feet along the Easterly line of the Mining Property as described in Exhibit A on said Film 1808 as Reception No. 1276718;

Thence S84°11'54"W, 129.78 feet to a point of curve to the right;

Thence Northwesterly, 98.84 feet along the arc of said curve to a point tangent, said arc having a radius of 185.00 feet, a central angle of 30°36'42" and being subtended by a chord that bears N80°29'45"W, 97.67 feet;

Thence N65°11'24"W, 1391.34 feet to a point of curve to the right;

Thence Northwesterly, 275.51 feet along the arc of said curve to a point of reverse curve, said arc having a radius of 680.00 feet, a central angle of 23°12'52" and being subtended by a chord that bears N53°34'58"W, 273.63 feet;

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Thence Northwesterly, 1675.78 feet along the arc of said reverse curve to a point tangent, said arc having a radius of 1835.00 feet, a central angle of $52^{\circ}19'28''$ and being subtended by a chord that bears $N68^{\circ}08'16''W$, 1618.15 feet;

Thence $S85^{\circ}42'00''W$, 94.98 feet to the Easterly line of that strip of land as described in Exhibit A in Special Warranty Deed recorded on Film 2126 as Reception No. 1607222 of the records of Boulder County, Colorado;

The following courses and distances are along the Easterly line of that strip of land as described in Exhibit A on said Film 2126 as Reception No. 1607222:

Thence Northwesterly, 346.75 feet along the arc of a curve concave to the Southwest to a point tangent, said arc having a radius of 1110.00 feet, a central angle of $17^{\circ}53'54''$ and being subtended by a chord that bears $N13^{\circ}54'53''W$, 345.34 feet;

Thence $N22^{\circ}51'50''W$, 265.52 feet;

Thence $N17^{\circ}54'30''W$, 199.95 feet;

Thence Northeasterly, 261.69 feet along the arc of a curve concave to the Southeast to a point tangent, said arc having a radius of 605.00 feet, a central angle of $24^{\circ}47'00''$ and being subtended by a chord that bears $N08^{\circ}19'36''E$, 259.66 feet;

Thence $N20^{\circ}43'06''E$, 209.12 feet;

Thence $N28^{\circ}01'26''E$, 151.19 feet;

Thence $N15^{\circ}19'04''E$, 151.14 feet;

Thence $N20^{\circ}43'06''E$, 270.81 feet to a point of curve to the left;

Thence Northeasterly, 357.25 feet along the arc of said curve, said arc having a radius of 1600.00 feet, a central



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angle of $12^{\circ}47'35''$ and being subtended by a chord that bears $N14^{\circ}19'19''E$, 356.51 feet;

Thence $N14^{\circ}42'15''E$, 139.41 feet;

Thence $N00^{\circ}04'09''W$, 305.91 feet to a point of curve to the left;

Thence Northerly, 364.73 feet along the arc of said curve to a point tangent, said arc having a radius of 2120.00 feet, a central angle of $9^{\circ}51'26''$ and being subtended by a chord that bears $N04^{\circ}59'52''W$, 364.28 feet;

Thence $N09^{\circ}55'35''W$, 169.14 feet;

Thence $N11^{\circ}37'57''W$, 503.87 feet;

Thence $N09^{\circ}55'35''W$, 238.83 feet to a point of curve to the left;

Thence Northwesterly, 608.93 feet along the arc of said curve, said arc having a radius of 2105.00 feet, a central angle of $16^{\circ}34'28''$ and being subtended by a chord that bears $N18^{\circ}12'49''W$, 606.81 feet;

Thence $N23^{\circ}09'45''W$, 152.54 feet;

Thence $N38^{\circ}04'48''W$, 43.34 feet;

Thence $N39^{\circ}30'28''W$, 1025.58 feet to a point of curve to the right;

Thence Northwesterly, 229.70 feet along the arc of said curve to a point tangent, said arc having a radius of 325.00 feet, a central angle of $40^{\circ}29'40''$ and being subtended by a chord that bears $N19^{\circ}15'38''W$, 224.95 feet;

Thence $N00^{\circ}59'12''E$, 152.37 feet to the North line of the SW1/4 of said Section 10;

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Thence leaving the Easterly line of that strip of land as described in Exhibit A on said Film 2126 as Reception No: 1607222 S89°10'22"E, 1853.46 feet along the North line of the SW1/4 of said Section 10 to the Northeast Corner of the Mining Property as described in Exhibit A on said Film 1808 as Reception No. 1276718;

The following courses and distances are along the Easterly line of the Mining Property as described in Exhibit A on said Film 1808 as Reception No. 1276718:

Thence S11°26'41"E, 2699.53 feet;

Thence S33°00'42"E, 1264.40 feet;

Thence S22°20'47"E, 1733.69 feet;

Thence S14°23'36"E, 431.01 feet to the TRUE POINT OF BEGINNING.

TOGETHER WITH:
BOULDER COUNTY WEST PARCEL

A tract of land located in Sections 9 and 16, T3N, R70W of the 6th P.M., Boulder County, Colorado, described as follows:

Commencing at the S1/4 Corner of said Section 9, from which the Southeast Corner of said Section 9 bears S87°27'25"E, 2644.89 feet, thence N87°28'55"W, 86.80 feet along the South line of the SW1/4 of said Section 9 to the TRUE POINT OF BEGINNING;

Thence S00°00'00"W, 3490.76 feet;

Thence N89°58'20"W, 2594.09 feet to the West line of the SW1/4 of said Section 16;

Thence N00°28'48"E, 828.94 feet along the West line of the SW1/4 of said Section 16 to the W1/4 Corner of said Section 16;

Thence N00°27'54"E, 2773.47 feet along the West line of the NW1/4 of said Section 16 to the Northwest Corner of said Section 16;

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Thence N00°24'30"E, 2618.21 feet along the West line of the SW1/4 of said Section 9 to the W1/4 Corner of said Section 9;

Thence S88°00'00"E, 2146.94 feet along the North line of the SW1/4 of said Section 9 to the Southeasterly line of Tract "B" as described in Special Warranty Deed recorded in Book 903 at Page 221 of the records of Boulder County, Colorado;

Thence N54°07'00"E, 799.62 feet along the Southeasterly line of said Tract "B" to a point of curve to the left;

Thence Northeasterly, 158.24 feet along the Southeasterly line of said Tract "B" and along the arc of said curve to a point tangent, said arc having a radius of 643.00 feet, a central angle of 14°06'00" and being subtended by a chord that bears N47°04'00"E, 157.84 feet;

Thence N40°01'00"E, 464.70 feet along the Southeasterly line of said Tract "B" to a point of curve to the left;

Thence Northeasterly, 140.41 feet along the Southeasterly line of said Tract "B" and along the arc of said curve to a point tangent, said arc having a radius of 356.50 feet, a central angle of 22°34'00" and being subtended by a chord that bears N28°44'00"E, 139.51 feet;

Thence N17°27'00"E, 440.20 feet along the Southeasterly line of said Tract "B" and along the Easterly line of Tract "C" as described in Warranty Deed recorded in Book 905 at Page 250 of the records of Boulder County, Colorado, to a point of curve to the left;

Thence Northwesterly, 302.62 feet along the Easterly line of said Tract "C" and along the arc of said curve to a point tangent, said arc having a radius of 308.70 feet, a central angle of 56°10'00" and being subtended by a chord that bears N10°38'00"W, 290.64 feet;

Thence N38°43'00"W, 73.00 feet along the Northeasterly line of said Tract "C" to the West line of the E1/2 of the W1/2 of the NE1/4 of said Section 9;



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Thence N00°09'52"E, 246.96 feet along the West line of the E1/2 of the W1/2 of the NE1/4 of said Section 9 to the Southeasterly line of Tract "D" as described in said Book 905 at Page 250;

Thence N60°20'22"E, 196.38 feet along the Southeasterly line of said Tract "D" to the Southerly line of Tract "B" as described in Warranty Deed recorded on Film 834 as Reception No. 083286 of the records of Boulder County, Colorado;

Thence S81°31'02"E, 913.54 feet along the Southerly line of said Tract "B" and along the Southerly line of Tract "A" as described in said Book 905 at Page 250 to a point of curve to the left;

Thence Easterly, 134.86 feet along the Southerly line of said Tract "A" and along the arc of said curve to a point tangent, said arc having a radius of 643.00 feet, a central angle of 12°01'00" and being subtended by a chord that bears S87°31'32"E, 134.61 feet;

Thence N86°27'58"E, 332.10 feet along the Southerly line of said Tract "A" to a point of curve to the right;

Thence Easterly, 106.38 feet along the Southerly line of said Tract "A" and along the arc of said curve to a point tangent, said arc having a radius of 1325.00 feet, a central angle of 4°36'00" and being subtended by a chord that bears N88°45'58"E, 106.35 feet;

Thence S88°56'02"E, 349.96 feet along the Southerly line of said Tract "A" to the East line of the NE1/4 of said Section 9;

Thence S00°16'51"W, 2146.77 feet along the East line of the NE1/4 of said Section 9 to the E1/4 Corner of said Section 9;

Thence N88°00'00"W, 2749.89 feet along the East-West Centerline of said Section 9 to a point from which the True Point of Beginning bears S00°00'00"W;

Thence S00°00'00"W, 2642.02 feet to the TRUE POINT OF BEGINNING.



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EXCEPTIONS

Tract "B", Tract "C", Tract "F", Tract "G", Tract "I" and Tract "S" conveyed to the United States of America as described in Warranty Deed recorded in Book 903 at Page 221 of the records of Boulder County, Colorado.

Tract "F" and Tract "G" conveyed to the United States of America as described in Warranty Deed recorded in Book 905 at Page 250 of the records of Boulder County, Colorado.

TOGETHER WITH:

BOULDER COUNTY SOUTH PARCEL B

A tract of land located in the SW1/4 of Section 16 and in the NW1/4 of Section 21, all in T3N, R70W of the 6th P.M., Boulder County, Colorado, described as follows:

Commencing at the N1/4 Corner of said Section 16, from which the Northeast Corner of said Section 16 bears S87°27'25"E, 2644.89 feet, thence N87°28'55"W, 86.80 feet along the North line of the NW1/4 of said Section 16; thence S00°00'00"W, 3490.76 feet; thence N89°58'20"W, 563.41 feet to the East line extended Northerly of that tract of land as described in Warranty Deed recorded in Book 601 at Page 45 of the records of Boulder County, Colorado, and as described in Quit Claim Deed recorded in Book 603 at Page 26 of the records of Boulder County, Colorado; thence N89°58'20"W, 2030.68 feet to the West line of the SW1/4 of said Section 16; thence S00°28'48"W, 1941.21 feet along the West line of the SW1/4 of said Section 16 to the Southwest Corner of said Section 16; thence S00°26'16"W, 216.48 feet along the West line of the NW1/4 of said Section 21 to the TRUE POINT OF BEGINNING;

Thence S89°49'48"E, 399.85 feet;

Thence N00°28'48"E, 1758.67 feet;

Thence S89°58'20"E, 1633.82 feet to the East line extended Northerly of that tract of land as described in said Book 601 at Page 45 and in said Book 603 at Page 26;

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Thence S00°01'40"W, 221.14 feet along the East line extended Northerly of that tract of land as described in said Book 601 at Page 45 and in said Book 603 at Page 26 to the Northeast Corner thereof;

Thence N89°58'20"W, 996.10 feet along the North line of that tract of land as described in said Book 601 at Page 45 and in said Book 603 at Page 26 to the Northwest Corner thereof;

Thence S00°01'40"W, 1320.01 feet along the West line of that tract of land as described in said Book 601 at Page 45 and in said Book 603 at Page 26 to the Southwest Corner thereof and the South line of the SW1/4 of said Section 16;

Thence S89°58'20"E, 137.03 feet along the South line of the SW1/4 of said Section 16 to the approximate Easterly bank of the Supply Ditch and the Westerly line of that tract of land as described in Warranty Deed recorded in Book 584 at Page 231 of the records of Boulder County, Colorado;

Thence S03°09'35"W, 111.70 feet along the approximate Easterly bank of said Supply Ditch and the Westerly line of that tract of land as described in said Book 584 at Page 231;

Thence S17°17'58"E, 243.37 feet along the approximate Easterly bank of said Supply Ditch and the Westerly line of that tract of land as described in said Book 584 at Page 231;

Thence S41°11'48"E, 104.41 feet along the approximate Easterly bank of said Supply Ditch and the Westerly line of that tract of land as described in said Book 584 at Page 231 to the East line of the NW1/4 of the NW1/4 of said Section 21;

Thence S00°27'00"W, 897.37 feet along the East line of the NW1/4 of the NW1/4 of said Section 21 to the Southeast Corner thereof;

Thence N89°49'48"W, 1324.92 feet along the South line of the NW1/4 of the NW1/4 of said Section 21 to the Southwest Corner thereof;

Thence N00°26'16"E, 1100.01 feet along the West line of the NW1/4 of said Section 21 to the TRUE POINT OF BEGINNING.



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Legal Descriptions Prepared By:
William K. Wright, PLS #23529
Drexel, Barrell & Co.
4840 Pearl East Circle, Suite 114
Boulder, CO 80301-2475
(303) 442-4338



EXHIBIT E TO PURCHASE AGREEMENT
CEMEX PROPERTY

OPERATIONS PARCEL WEST

A tract of land located in Sections 9, 10, 15 and 16, all in T3N, R70W of the 6th P.M., Boulder County, Colorado, described as follows:

Commencing at the S1/4 Corner of said Section 9 from which the Southeast Corner of said Section 9 bears S87°27'25"E, 2644.89 feet, thence N87°28'55"W, 86.80 feet along the South line of the SW1/4 of said Section 9 to the TRUE POINT OF BEGINNING;

Thence S00°00'00"W, 3490.76 feet;

Thence S89°58'20"E, 1377.93 feet to the West line extended Northerly of the SE1/4 of the SE1/4 of said Section 16;

Thence S00°34'45"W, 600.00 feet along the West line extended Northerly of the SE1/4 of the SE1/4 of said Section 16 to the Northwest Corner of the SE1/4 of the SE1/4 of said Section 16;

Thence S89°18'43"E, 1320.20 feet along the North line of the SE1/4 of the SE1/4 of said Section 16 to the Northeast Corner thereof;

Thence S89°45'38"E, 1028.99 feet along the North line of the SW1/4 of the SW1/4 of said Section 15 to the Westerly right-of-way line of Boulder County Road No. 47 as described in Exhibit A in Special Warranty Deed recorded on Film 2126 as Reception No. 1607221 of the records of Boulder County, Colorado;

The following courses and distances are along the Westerly and Northerly right-of-way line of said Boulder County Road No. 47:

Thence Northerly, 155.73 feet along the arc of a curve concave to the West to a point tangent, said arc having a radius of 480.00 feet, a central angle of 18°35'21" and being subtended by a chord that bears N04°59'58"E, 155.05 feet;



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Thence N04°17'43"W, 777.37 feet to a point of curve to the left;

Thence Northwesterly, 324.08 feet along the arc of said curve to a point tangent, said arc having a radius of 1000.00 feet, a central angle of 18°34'07" and being subtended by a chord that bears N13°34'46"W, 322.67 feet;

Thence N22°51'50"W, 269.77 feet to a point of curve to the right;

Thence Northerly, 532.46 feet along the arc of said curve to a point tangent, said arc having a radius of 700.00 feet, a central angle of 43°34'56" and being subtended by a chord that bears N01°04'22"W, 519.71 feet;

Thence N20°43'06"E, 780.37 feet to a point of curve to the left;

Thence Northeasterly, 544.21 feet along the arc of said curve to a point tangent, said arc having a radius of 1500.00 feet, a central angle of 20°47'14" and being subtended by a chord that bears N10°19'29"E, 541.23 feet;

Thence N00°04'09"W, 218.20 feet to a point of curve to the left;

Thence Northerly, 344.09 feet along the arc of said curve to a point tangent, said arc having a radius of 2000.00 feet, a central angle of 09°51'26" and being subtended by a chord that bears N04°59'52"W, 343.66 feet;

Thence N09°55'35"W, 911.61 feet to a point of curve to the left;

Thence Northwesterly, 1032.58 feet along the arc of said curve to a point tangent, said arc having a radius of 2000.00 feet, a central angle of 29°34'53" and being subtended by a chord that bears N24°43'02"W, 1021.15 feet;



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Thence N39°30'28"W, 741.51 feet to a point of curve to the right;

Thence Northwesterly, 246.83 feet along the arc of said curve, said arc having a radius of 420.00 feet, a central angle of 33°40'21" and being subtended by a chord that bears N22°40'17"W, 243.29 feet;

Thence S89°37'09"E, 70.50 feet to the Westerly line of that strip of land as described in Exhibit A in Special Warranty Deed recorded on Film 2126 as Reception No. 1607222 of the records of Boulder County, Colorado;

Thence leaving the Northerly right-of-way line of said Boulder County Road No. 47, Northerly, 49.31 feet along the Westerly line of that strip of land as described in Exhibit A on said Film 2126 as Reception No. 1607222 and along the arc of a curve concave to the East to a point tangent, said arc having a radius of 350.00 feet, a central angle of 8°04'19" and being subtended by a chord that bears N03°02'57"W, 49.27 feet;

Thence N00°59'12"E, 152.30 feet along the West line of that strip of land as described in Exhibit A on said Film 2126 as Reception No. 1607222 to the East-West Centerline of said Section 10;

Thence N89°10'22"W, 1.43 feet along the East-West Centerline of said Section 10 to the W1/4 Corner of said Section 10;

Thence N88°00'00"W, 2749.89 feet along the East-West Centerline of said Section 9 to a point from which the True Point of Beginning bears S00°00'00"W;

Thence S00°00'00"W, 2642.02 feet to the TRUE POINT OF BEGINNING.

Subject to a right-of-way for Boulder County Road No. 47.

TOGETHER WITH:
OPERATIONS PARCEL EAST

A tract of land located in the S1/2 of Section 15 and in the NE1/4 of Section 22, all in T3N, R70W of the 6th P.M., Boulder County, Colorado, described as follows:



Commencing at the Southeast Corner of Section 9, T3N, R70W of the 6th P.M., from which the S1/4 Corner of said Section 9 bears N87°27'25"W, 2644.89 feet, thence S51°33'47"E, 4965.84 feet to an Easterly Corner of the Mining Property as described in Exhibit A in Term Deed recorded on Film 1808 as Reception No. 1276718 of the records of Boulder County, Colorado; thence S61°53'26"E, 406.88 feet along the Easterly line of the Mining Property as described in Exhibit A on said Film 1808 as Reception No. 1276718; thence S05°48'06"E, 1111.23 feet along the Easterly line of the Mining Property as described in Exhibit A on said Film 1808 as Reception No. 1276718 to the TRUE POINT OF BEGINNING;

Thence S84°11'54"W, 129.78 feet to a point of curve to the right;

Thence Northwesterly, 98.84 feet along the arc of said curve to a point tangent, said arc having a radius of 185.00 feet, a central angle of 30°36'42" and being subtended by a chord that bears N80°29'45"W, 97.67 feet;

Thence N65°11'24"W, 1391.34 feet to a point of curve to the right;

Thence Northwesterly, 275.51 feet along the arc of said curve to a point of reverse curve, said arc having a radius of 680.00 feet, a central angle of 23°12'52" and being subtended by a chord that bears N53°34'58"W, 273.63 feet;

Thence Northwesterly, 1675.78 feet along the arc of said reverse curve to a point tangent, said arc having a radius of 1835.00 feet, a central angle of 52°19'28" and being subtended by a chord that bears N68°08'16"W, 1618.15 feet;

Thence S85°42'00"W, 94.98 feet to the Easterly line of that strip of land as described in Exhibit A in Special Warranty Deed recorded on Film 2126 as Reception No. 1607222 of the records of Boulder County, Colorado;



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Thence Southerly, 12.99 feet along the Easterly line of that strip of land as described in Exhibit A on said Film 2126 as Reception No. 1607222 and along the arc of a curve concave to the West to a point tangent, said arc having a radius of 1110.00 feet, a central angle of $00^{\circ}40'13''$ and being subtended by a chord that bears $S04^{\circ}37'50''E$, 12.99 feet;

Thence $S04^{\circ}17'43''E$, 306.87 feet along the Easterly line of that strip of land as described in Exhibit A on said Film 2126 as Reception No. 1607222;

Thence $S04^{\circ}24'56''W$, 99.04 feet along the Easterly line of that strip of land as described in Exhibit A on said Film 2126 as Reception No. 1607222;

Thence $S04^{\circ}17'43''E$, 211.84 feet along the Easterly line of that strip of land as described in Exhibit A on said Film 2126 as Reception No. 1607222;

Thence $S10^{\circ}02'04''E$, 100.00 feet along the Easterly line of that strip of land as described in Exhibit A on said Film 2126 as Reception No. 1607222.

Thence $S04^{\circ}17'43''E$, 61.25 feet along the Easterly line of that strip of land as described in Exhibit A on said Film 2126 as Reception No. 1607222 to a point of curve to the right;

Thence Southerly, 163.65 feet along the Easterly line of that strip of land as described in Exhibit A on said Film 2126 as Reception No. 1607222 and along the arc of said curve to the North line of the SW1/4 of the SW1/4 of said Section 15, said arc having a radius of 585.00 feet, a central angle of $16^{\circ}01'40''$ and being subtended by a chord that bears $S03^{\circ}43'07''W$, 163.11 feet;

Thence $S89^{\circ}45'38''E$, 185.33 feet along the North line of the SW1/4 of the SW1/4 of said Section 15 to the Northeast Corner thereof;

Thence $S00^{\circ}31'39''W$, 683.81 feet along the East line of the SW1/4 of the SW1/4 of said Section 15 to the approximate Northerly bank of the Supply Ditch;



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The following courses and distances are along the approximate Northerly bank of said Supply Ditch:

Thence N74°04'04"E, 86.38 feet;

Thence N61°42'40"E, 199.17 feet;

Thence N21°00'22"E, 276.56 feet;

Thence N45°56'00"E, 75.97 feet;

Thence N75°25'05"E, 176.92 feet;

Thence S27°00'29"E, 306.77 feet;

Thence S64°35'35"E, 357.74 feet;

Thence S79°34'12"E, 142.33 feet;

Thence S63°57'18"E, 182.39 feet;

Thence S50°18'58"E, 112.20 feet;

Thence S71°54'56"E, 168.49 feet;

Thence S55°53'34"E, 189.88 feet;

Thence S75°12'21"E, 184.87 feet;

Thence S66°08'01"E, 196.80 feet;

Thence S57°15'11"E, 312.16 feet;

Thence S37°39'43"E, 194.52 feet;

Thence S39°28'40"E, 236.03 feet to the East line of the NW1/4 of the NE1/4 of said Section 22;

Thence, leaving the approximate Northerly bank of said Supply Ditch, N00°23'09"E, 274.18 feet along the East line of the NW1/4 of the NE1/4 of said Section 22 to the Northeast Corner thereof;



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Thence S89°54'18"E, 532.30 feet along the South line of the SE1/4 of said Section 15 to a point from which the Southeast Corner of said Section 15 bears S89°54'18"E, 793.42 feet and the Easterly line of the Mining Property as described in Exhibit A on said Film 1808 as Reception No. 1276718;

Thence N05°48'06"W, 943.93 feet along the Easterly line of the Mining Property as described in Exhibit A on said Film 1808 as Reception No. 1276718 to the TRUE POINT OF BEGINNING.

TOGETHER WITH:
DEVELOPMENT PARCEL NORTH

A tract of land located in the S1/2 of Section 16 and in the N1/2 of Section 21, all in T3N, R70W of the 6th P.M., Boulder County, Colorado, described as follows:

Commencing at the S1/4 Corner of Section 9, T3N, R70W of the 6th P.M., from which the Southeast Corner of said Section 9 bears S87°27'25"E, 2644.89 feet, thence N87°28'55"W, 86.80 feet along the South line of the SW1/4 of said Section 9; thence S00°00'00"W, 3490.76 feet to the TRUE POINT OF BEGINNING;

Thence N89°58'20"W, 563.41 feet to the East line extended Northerly of that tract of land as described in Warranty Deed recorded in Book 601 at Page 45 of the records of Boulder County, Colorado and as described in Quit Claim Deed recorded in Book 603 at Page 26 of the records of Boulder County, Colorado;

Thence S00°01'40"W, 621.14 feet along the East line extended Northerly of that tract of land as described in said Book 601 at Page 45 and in said Book 603 at Page 26 to the Northeast Corner thereof;

Thence S00°01'40"W, 1194.78 feet along the East line of that tract of land as described in said Book 601 at Page 45 and in said Book 603 at Page 26 to the approximate Southerly bank of the Supply Ditch and the Northerly line of that tract of land as described in Warranty Deed recorded in Book 584 at Page 231 of the records of Boulder County, Colorado;



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Thence S34°07'46"E, 151.34 feet along the approximate Southerly bank of said Supply Ditch and along the Northerly line of that tract of land as described in said Book 584 at Page 231 to the South line of the SW1/4 of said Section 16;

Thence S89°58'20"E, 25.37 feet along the South line of the SW1/4 of said Section 16 to the West line of the East 30 acres of the NW1/4 of said Section 21;

Thence S00°27'46"W, 2102.34 feet along the West line of the East 30 acres of the NW1/4 of said Section 21 to the Northeasterly right-of-way line of Colorado State Highway No. 66;

Thence S63°32'37"E, 497.42 feet along the Northeasterly right-of-way line of said Colorado State Highway No. 66 to the Northwesterly line of that tract of land as described in Warranty Deed recorded in Book 70 at Page 162 of the records of Boulder County, Colorado;

Thence N27°54'28"E, 101.97 feet along the Northwesterly line of that tract of land as described in said Book 70 at Page 162 to the North-South Centerline of said Section 21;

Thence N00°27'46"E, 645.55 feet along the North-South Centerline of said Section 21 to the South line of the North 265.00 feet of the NW1/4 of the SW1/4 of the NE1/4 of said Section 21;

Thence S89°46'54"E, 330.00 feet along the South line of the North 265.00 feet of the NW1/4 of the SW1/4 of the NE1/4 of said Section 21 to the East line of the West 330.00 feet of the NW1/4 of the SW1/4 of the NE1/4 of said Section 21;

Thence N00°27'46"E, 265.00 feet along the East line of the West 330.00 feet of the NW1/4 of the SW1/4 of the NE1/4 of said Section 21 to the South line of the NW1/4 of the NE1/4 of said Section 21;

Thence S89°46'52"E, 328.67 feet along the South line of the NW1/4 of the NE1/4 of said Section 21 to the Southeast Corner of the W1/2 of the NW1/4 of the NE1/4 of said Section 21;



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Thence S89°46'54"E, 658.67 feet along the South line of the NW1/4 of the NE1/4 of said Section 21 to the Southeast Corner thereof;

Thence N00°29'57"E, 1314.38 feet along the East line of the NW1/4 of the NE1/4 of said Section 21 to the South line of Boulder County Road No. 47 as described in Exhibit A in Special Warranty Deed recorded on Film 2126 as Reception No. 1607221 of the records of Boulder County, Colorado;

Thence N89°37'04"W, 45.93 feet along the Southerly line of said Boulder County Road No. 47 to the Southwest Corner thereof;

Thence Northeasterly, 160.80 feet along the Westerly line of said Boulder County Road No. 47 and along the arc of a curve concave to the Southeast to the West line of the SE1/4 of the SE1/4 of said Section 21, said arc having a radius of 815.00 feet, a central angle of 11°18'16" and being subtended by a chord that bears N17°11'48"E, 160.54 feet;

Thence N00°34'45"E, 1200.64 feet along the West line of the SE1/4 of the SE1/4 of said Section 16 to the Northwest Corner thereof;

Thence N00°34'45"E, 600.00 feet along the West line extended Northerly of the SE1/4 of the SE1/4 of said Section 16 to a point from which the True Point of Beginning bears N89°58'20"W;

Thence N89°58'20"W, 1377.93 feet to the TRUE POINT OF BEGINNING.

Subject to a right-of-way for Boulder County Road No. 47 (North 53rd Street).

EXCEPTIONS

All that portion of the Highland Ditch located in the W1/2 of the NW1/4 of the NE1/4 of said Section 21.



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TOGETHER WITH:
DEVELOPMENT PARCEL SOUTH (PLANT ENTRANCE)

A tract of land located in the NW1/4 of Section 21, T3N, R70W of the 6th P.M., Boulder County, Colorado, described as follows:

Commencing at the N1/4 Corner of Section 16, T3N, R70W of the 6th P.M., from which the Northeast Corner of said Section 16 bears S87°27'25"E, 2644.89 feet, thence S00°29'31"W, 5428.32 feet along the North-South Centerline of said Section 16 to the S1/4 Corner of said Section 16; thence S00°27'46"W, 2646.11 feet along the North-South Centerline of said Section 21 to the Center of said Section 21; thence N89°40'32"W, 494.10 feet along the South line of the NW1/4 of said Section 21 to the West line of the East 30 acres of the NW1/4 of said Section 21 and the TRUE POINT OF BEGINNING;

Thence S89°40'32"E, 279.60 feet along the South line of the NW1/4 of said Section 21 to the Southwest Corner of that tract of land as described in Warranty Deed recorded in Book 70 at Page 162 of the records of Boulder County, Colorado;

Thence N27°54'28"E, 208.38 feet along the Northwesterly line of that tract of land as described in said Book 70 at Page 162 to the Southwesterly right-of-way line of Colorado State Highway No. 66;

Thence N63°32'37"W, 417.92 feet along the Southwesterly right-of-way line of said Colorado State Highway No. 66 to the West line of the East 30 acres of the NW1/4 of said Section 21;

Thence S00°27'46"W, 368.76 feet along the West line of the East 30 acres of the NW1/4 of said Section 21 to the TRUE POINT OF BEGINNING.

EXCEPTIONS

Right-of-way for the Burlington and Northern Railroad.



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TOGETHER WITH:

BOULDER COUNTY SOUTH PARCEL A (ANNEXATION ARM)

A tract of land located in the SW1/4 of Section 16 and in the NW1/4 of Section 21, all in T3N, R70W of the 6th P.M., Boulder County, Colorado, described as follows:

Commencing at the N1/4 Corner of said Section 16, from which the Northeast Corner of said Section 16 bears S87°27'25"E, 2644.89 feet, thence N87°28'55"W, 86.80 feet along the North line of the NW1/4 of said Section 16; thence S00°00'00"W, 3490.76 feet; thence N89°58'20"W, 563.41 feet to the East line extended Northerly of that tract of land as described in Warranty Deed recorded in Book 601 at Page 45 of the records of Boulder County, Colorado, and as described in Quit Claim Deed recorded in Book 603 at Page 26 of the records of Boulder County, Colorado, and the TRUE POINT OF BEGINNING;

Thence N89°58'20"W, 2030.68 feet to the West line of the SW1/4 of said Section 16;

Thence S00°28'48"W, 1941.21 feet along the West line of the SW1/4 of said Section 16 to the Southwest Corner of said Section 16;

Thence S00°26'16"W, 216.48 feet along the West line of the NW1/4 of said Section 21;

Thence S89°49'48"E, 399.85 feet;

Thence N00°28'48"E, 1758.67 feet;

Thence S89°58'20"E, 1633.82 feet to the East line extended Northerly of that tract of land as described in said Book 601 at Page 45 and in said Book 603 at Page 26;

Thence N00°01'40"E, 400.00 feet along the East line extended Northerly of that tract of land as described in said Book 601 at Page 45 and in said Book 603 at Page 26 to the TRUE POINT OF BEGINNING.



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Legal Descriptions Prepared By:
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EXHIBIT F-1

Conservation Easement in Gross for the Operations Parcel

[This form will be used for the conservation easement over the northerly 385 acres of the Operations Parcel to be conveyed at closing, and for the conservation easement over the entire Operations Parcel to be granted after vesting of the development rights in accordance with Paragraph 22]

CONSERVATION EASEMENT

This Conservation Easement (the "Easement") is granted by Cemex, Inc., a Louisiana corporation ("Grantor") on the _____ day of _____, 2002, to the County of Boulder, a body corporate and politic ("County" or "Grantee").

WHEREAS, Grantor is the owner of the Property legally described on Exhibit A, attached hereto and by this reference made a part of this Easement located in Section(s) _____, Township _____, Range _____ West of the 6th P.M., in the County of Boulder, State of Colorado ; and

WHEREAS, County has purchased or transferred to other properties all of the development rights appurtenant to the Property, pursuant to the Purchase Agreement, Lease and Option dated July _____, 2002 ("the Purchase Agreement");

WHEREAS, Grantor has agreed to preserve the Property in consideration of the County's purchase of the development rights and other terms of the Purchase Agreement through this Conservation Easement; and

WHEREAS, by entering into this Conservation Easement, the Parties intend to preserve the Property as open land for agricultural, Limestone Mining, reclamation, wildlife and livestock purposes in accordance with the Purchase Agreement.

NOW, THEREFORE, for good and valuable consideration, Grantor hereby grants and conveys to the County a Conservation Easement in gross pursuant to Title 38, Article 30.5 of the Colorado Revised Statutes, as amended, over the Property as identified above, subject to the following terms and restrictions:



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1. The Property shall be used only for agricultural, Limestone Mining, reclamation, wildlife, and livestock purposes. Limestone Mining and those uses permitted under Special Use Permit 93-14, including reclamation, shall be allowed on the Property until the completion of mining and reclamation under Boulder County Special Use Permit 93-14. Thereafter, no mining shall be allowed on the Property. As used herein, "Limestone" shall include all limestone, limerock, calcareous materials, clay, shale and other materials used in the manufacture of cement in, on or under the Property. As used herein, "Limestone Mining" shall include the right to enter upon and use the Property for the purposes of surveying, exploring for, and defining the extent and quality of all Limestone and all Limestone deposits in, on, or under the Property, and for developing, mining removing, crushing, processing, shipping and marketing such Limestone and Limestone deposits by whatever methods Grantor may deem appropriate; to construct and use such buildings, crushers, processing and conveyor equipment, rods, water facilities, power and communication lines and other improvements on the Property as are required by Grantor for the full use of the Property in connection with Grantor's mining operations; to construct and use workings now or hereafter located on the Property as may be necessary, convenient or suitable for or incidental to any of the rights or privileges of Grantor hereunder; and to use so much of the surface and subsurface of the Property in such manner as may be necessary, convenient, or suitable for or incidental to Grantor's mining operations.
2. Grantor may conduct or allow to be conducted any use on the Property which is consistent with and accessory to the preservation of the Property for the uses described in Paragraph 1 above, and which complies with the Land Use Code and the terms of this Easement.
3. Grantor shall not erect on the Property any residential structures or any other structures which are not accessory to an agricultural use. Agriculturally related buildings and structures may be permitted on the Property if they are not used for residential purposes; they are constructed and used as accessory structures to a single principal use of agriculture; and they are in accordance with the Land Use Code. Mining structures approved in Special Use Permit 93-14 are also permitted on the Property.
4. Grantor shall not divide the Property into two or more parcels, separate interests or interests in common (whether or not such subdivision is permitted under state law) without the express written consent of the Grantee. The Property shall be held as one agricultural unit and, without the express written consent of the Grantee, or by operation of law, Grantor may not convey any portion of the Property as said conveyance would constitute an impermissible division of the Property under this Easement. If the Grantee does approve a division of the Property, or the Property is divided by operation of law, all terms of this Easement shall attach to the land and shall survive any division.
5. The County shall have the right to enter upon the Property with prior reasonable notice, to inspect for violations of the terms and covenants of this Easement and take



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appropriate legal action to remove or eliminate any conditions or operations which violate the same. No further right of access entry or possession is conveyed hereby.

6. This Easement is granted in perpetuity and the covenants as set forth herein shall run with the land and be binding upon all parties thereto, their heirs, successors, representatives, and assigns, and all persons who may hereafter acquire an interest in the Property. It is intended that this Easement and any other interests created under this Easement vest immediately. Pursuant to Colorado Revised Statute Section 15-11-1102(1)(a) and (b), if any nonvested property interests conveyed to the Grantee under this Easement do not vest within 90 years after the date of execution of this Easement by both parties, said interests shall automatically be severed from the remainder of the interests conveyed herein and shall automatically terminate.

7. If circumstances arise under which an amendment would be appropriate, Grantor and Grantee may jointly amend the Easement. Any such amendment shall be consistent with the purposes of the Easement, shall not affect its perpetual duration, shall not permit additional developments or improvements currently prohibited by the Easement, and shall not impair any of the significant conservation values of the Property. Any such amendment shall be recorded in the official records of Boulder County, Colorado.

In giving this Easement, the Grantor has considered the possibility that uses prohibited by the terms of this Easement may become more economically valuable than permitted uses and that neighboring properties may in the future be put entirely to such prohibited uses. It is the intent of both the Grantor and the Grantee that any such changes shall not be deemed circumstances justifying the termination or extinguishment of this Easement. In addition, the inability of the Grantor, or the Grantor's heirs, successors or assigns, to conduct or implement any or all of the uses permitted under this Easement, or the unprofitability of doing so, shall not impair the validity of this Easement or be considered grounds for its termination or extinguishment.

IN WITNESS WHEREOF, Grantor has caused its name to be hereunto subscribed the day and year first above written.

Grantor

STATE OF COLORADO)

)ss

COUNTY OF BOULDER)

The foregoing instrument was acknowledged before me this ____ day of _____,
2002 ____, by _____.

Witness my hand and official seal.



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My commission expires:

Notary Public

IN WITNESS AND ACCEPTANCE WHEREOF, the County has caused its name to be hereunto subscribed the day and year first above written.

Chair, Board of County Commissioners of the
County of Boulder, Colorado

ATTEST:

Clerk to the Board



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Exhibit G
Option Schedule for Development Parcel and 11 Development Rights

Year	3.5% Escalator	Escalated Purchase Price at 3.5%*
7/15/2003	\$0	\$250,000
7/15/2004	8750	258750
7/15/2005	9056	267806
7/15/2006	9373	277179
7/15/2007	9701	286880
7/15/2008	10040	296920
7/15/2009	10392	307312
7/15/2010	10755	318067
7/15/2011	11132	329199
7/15/2012	11521	340720
7/15/2013	11925	352645
7/15/2014	12342	364987
7/15/2015	12774	377761
7/15/2016	13221	390982
7/15/2017	13684	404066
7/15/2018	14142	418208
7/15/2019	14637	432845
7/15/2020	15149	447994
7/15/2021	15679	463673

*Purchase Price per development right per year.



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EXHIBIT H
LEASE FOR COUNTY PROPERTY
LEASE AGREEMENT

THIS LEASE AGREEMENT, hereinafter referred to as "Lease" or "Agreement", is made and entered into to be effective as of the ___ day of July, 2002, between the **COUNTY OF BOULDER**, a body corporate and politic, hereinafter referred to as "Landlord", and **CEMEX, INC.**, a Louisiana corporation whose address is 5134 Ute Highway, Lyons, CO 80503, hereinafter referred to as "Tenant".

In consideration of the mutual covenants contained herein and other valuable considerations, the parties hereto agree as follows.

1. Lease of Premises

The Landlord and Tenant hereby agree to enter into a Lease for approximately 800 acres of land, hereinafter referred to as the "Leased Premises", more particularly described in Exhibit A, and as shown on the map attached hereto as Exhibit B, which exhibits are made a part hereof by this reference.

2. Term

The term of this Lease shall commence as of the date of this Lease and shall expire upon the completion of reclamation by Tenant of the Leased Premises, and the release of Tenant from all obligations under the permit from the Colorado Division of Minerals and Geology, but no later than December 31, 2024. The term of this Lease shall also be terminable upon 30 days' written notice by Tenant to County, provided that Tenant shall continue to lease the Leased Premises until the Colorado Mined Land Reclamation Board and the County have determined that all reclamation obligations are completed, with respect to the Leased Premises.

3. Rent

During the term of this Lease, Tenant shall pay the Landlord rent in the amount of ONE THOUSAND DOLLARS (\$1000.00) per annum, due and payable on the anniversary date of this Lease. If Tenant fails to make the lease payment in any given year, Landlord shall notify Tenant in writing of the missed payment and Tenant shall have a period of ten (10) business days in which to make the lease payment.

Rent is due by 4:30 p.m. on the above dates, either by mail to the Parks and Open Space Department, P.O. Box 471, Boulder, CO 80306 or delivered to 2045 13th Street, Boulder, CO. Tenant shall incur and be charged \$5.00 per day as a late fee for payment of rent received after the 10 business day period has elapsed.

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4. Use

Tenant shall use the Leased Premises solely for agricultural uses and for buffer areas to comply with permit regulations for mining of Tenant's adjacent property and as permitted under Special Use Permit 93-14. It is the intent of the parties that Tenant may count the Leased Premises as property under its control for purposes of meeting permit requirements, including air emission permits, but that Landlord shall direct and manage reclamation and agricultural efforts on the Leased Premises.

5. Property Management

Tenant shall manage the Property consistent with the conditions of Boulder County Special Use, Docket SU-93-14. Landlord shall have the right to enter the Leased Premises to engage in agricultural, open space, and short grass prairie reclamation efforts on the Leased Premises, provided that Landlord's management shall not conflict with Tenant's requirements under its mining permits, including without limitation, air emission permits for Tenant's mining operations on its adjacent property. Nothing in this provision shall be construed as the Landlord accepting or assuming Tenant's obligations to reclaim the property under its mining permits.

6. Removal of Personal Property

Tenant shall prior to expiration or other termination of the Lease, remove all of Tenant's personal property from the Leased Premises. Tenant agrees that any personal property of Tenant remaining on the Leased Premises after the end of the lease term, or termination of the Lease, shall be deemed abandoned by Tenant and Landlord shall have the right to dispose of any such personal property in any manner Landlord deems appropriate. Tenant will be liable for any disposal costs incurred by Landlord.

7. Delivery of Possession

The Tenant shall be entitled to possession of the Leased Premises at 7 a.m. on the date of commencement of the lease term.

8. Holdover

If the Tenant holds over after the expiration or termination of this Lease Agreement, Tenant shall occupy said premises on a month-to-month basis at a rental rate of five dollars per acre per annum, unless a new lease for a new term is executed by both parties. As a month-to-month tenant, the Tenant shall be required to give notice of termination not later than the first day of the month at the end of which Tenant desires to terminate tenancy; otherwise Tenant shall be liable for payment of the succeeding month's rent.



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9. Insurance Requirements

Tenant shall procure and maintain at Tenant's expense and without cost to County the following types and amounts of insurance.

- (a) A Comprehensive General Liability Insurance with minimum limits of \$1,000,000.00 combined single limit for each occurrence. This policy shall include the Broad Form Endorsement. The Certificate of Insurance for this coverage must identify if this coverage is on a claims-made form. A letter from Tenant's Insurance Broker must accompany the Certificate of Insurance which outlines the current policy aggregate limits.
- (b) If applicable, Automobile Liability Insurance which includes coverage for all owned, non-owned, and hired vehicles with a minimum limit of \$1,000,000.00 combined single limit for each occurrence.
- (c) If applicable, Workers' Compensation and Employers' Liability Insurance shall cover the obligations of the Tenant in accordance with the provisions of the Workers Compensation Act, as amended, of the State of Colorado.

Tenant shall provide Certificates of Insurance to County in the name of Boulder County demonstrating that the aforementioned insurance requirements have been met at the closing of each Parcel, and annually thereafter. The Comprehensive General Liability Certificate of Insurance shall indicate **THE COUNTY OF BOULDER, STATE OF COLORADO, A BODY CORPORATE AND POLITIC, AS ADDITIONAL NAMED INSURED**. These Certificates of Insurance shall also contain a valid provision or endorsement that these policies may not be canceled, terminated, changed or modified without thirty (30) days' written notice to County.

Certificates of Insurance shall be forwarded to the following designated County representative:

Gene Jackson
Risk Management
P.O. Box 471
Boulder, Colorado 80306

With a copy to: Cat Trujillo
Boulder County Parks &
Open Space Department
P.O. Box 471
Boulder, Colorado 80306

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10. Condition of Property

Prior to signing this Agreement, Tenant has inspected or caused to be inspected the Leased Premises and takes the Leased Premises in the condition **AS IS**. No additional representation, statement or warranty, express or implied, has been made by or on behalf of Landlord as to such condition. In no event shall the Landlord be liable for any defect in such Leased Premises or for any limitation on its use for the mining permit and reclamation.

GENERAL PROCEDURAL REQUIREMENTS

11. Tenant Covenants and Responsibilities

- a. Tenant shall permit Landlord to inspect the Leased Premises during all reasonable business hours. Landlord shall also have a right of access at all times in the event of an emergency.
- b. Tenant shall only allow odors, fumes, vibrations and noise on and from the Leased Premises which are commensurate with the normal conduct of mining operations, and in accordance with the conditions of Docket SU-93-14.
- c. All chemical pest control employed on the leased premises shall be in accordance with federal, state or local statute, ordinance, resolution, rule or regulation.
- d. Subject to County Rules and Regulations and Boulder County Special Use, Docket SU-93-14 and any future dockets approved by the Board of County Commissioners, Tenant shall burn, clean, dredge and generally maintain in a serviceable condition, all ditches, including wasteways, related to the Leased Premises.
- e. Tenant shall properly place, store, use or dispose on the Leased Premises, temporarily or permanently, only those substances legally permitted to be used on the Leased Premises. Such substances shall include fuel products that are hazardous, toxic, dangerous or harmful or which are defined as a hazardous substance by the Comprehensive Environmental Response Compensation and Liability Act ("CERCLA") 42 USC 9601. These substances shall be referred to collectively as "hazardous substances". Tenant shall immediately notify Landlord of all reportable spills, or releases, inspections, correspondence, orders, citations, notices or written allegations of violations of law, fines, response and/or cleanup actions, and adjudicated violations of law, regulations or ordinances which affect the Leased Premises.
- f. Except as permitted by Boulder County Special Use, Docket SU-93-14 and any future dockets approved by the Board of County Commissioners, Tenant agrees there shall be no construction of any structure, building or other improvement on the Leased Premises without Landlord's prior written approval.

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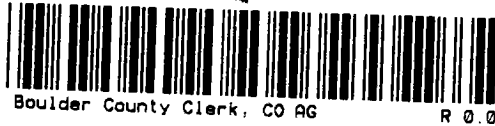
g. Tenant shall indemnify and save harmless Landlord from and against any and all claims, suits, actions, damages and causes of action arising during the term of this Lease for personal injury, loss of life, or damage to property sustained in, or upon the Leased Premises, and from and against all costs, attorneys fees, expenses and liabilities incurred in and about any such claims, the investigation thereof or the defense of any action or proceedings brought thereon, and from any judgments, orders, decrees, or liens, resultant therefrom by virtue of the use of the Leased Premises. By requiring this right to indemnification, the Landlord in no way waives or intends to waive the limitations on liability which are provided to the Landlord under the Colorado Governmental Immunity Act, C.R.S., Sections 24-10-101, et seq.

h. Tenant agrees that it shall not permit any mechanic's lien to be perfected or remain against the Leased Premises. Tenant shall not directly or indirectly create, incur, assume or suffer to exist any mortgage, pledge, lien, charge, encumbrance or claim on or with respect to the Leased Premises.

i. Tenant expressly shall not assign its Lease interest, nor its Lease obligations herein to any third party, who is not an affiliate of Tenant, without the prior written consent of the County, which shall not be unreasonably withheld. Tenant may assign its Lease interest or Lease obligations herein to an affiliate of Tenant, if Tenant continues as a joint obligor for the Lease, and provides written notice of the assignment to County. Tenant may request that the County consent to the release of Tenant from its obligations under the Lease, upon assignment to an affiliate. The County's consent to such release of Tenant shall not be unreasonably withheld if the affiliate is adequately capitalized to complete the mining and reclamation of the Property, and has posted appropriate bonds with regulatory authorities. Tenant may sublease the Property to Leonard Loukenon, or to another subtenant approved by County, provided that such subleases shall be for no more than one year terms, and the County shall have the annual right to approve or reject extensions.

j. Tenant agrees the Leased Premises shall not be used for any purposes prohibited by the laws of the United States or the State of Colorado or the ordinances or resolutions of the County of Boulder.

k. Tenant agrees to deliver up and surrender to the Landlord, possession of said Leased Premises at the expiration or termination of this Lease, by lapse of time or otherwise.



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12. Notices

Any notice from one party to another, required by the terms of this lease Agreement, may be delivered in person to such party (delivery to one of two or more persons named as a party shall be effective notice to all), or shall be delivered by first class mail, postage prepaid, and shall be deemed given one (1) day after the date mailed, addressed to the respective parties as follows:

Landlord: Boulder County Parks and Open Space Department
P. O. Box 471
Boulder, CO 80306
303-441-3950 - phone no. provided for informational
purposes only.
303-441-4794 - fax no. provided for informational purposes only

Tenant: Cemex, Inc.

13. Breach

The Tenant agrees to observe and perform the conditions and agreements herein set forth to be observed and performed by the Tenant. If Tenant defaults in the payment of rent, or any part thereof, or if the Tenant shall fail to observe or perform any conditions or agreements set forth in this Agreement, Landlord shall give Tenant written notice that Tenant has fifteen (15) days to cure such breach. If Tenant fails to commence within said fifteen-day period, a course of performance to cure such default and thereafter to diligently pursue the work required to correct it, then, and in that event, and as often as the same may happen, it shall be lawful for the Landlord, at its election, to terminate this Lease and to re-enter and repossess itself of said premises, but only with and pursuant to legal proceedings, and to remove therefrom any livestock, crops and any personal property belonging to the Tenant without prejudice to any claim for rent or for the breach of covenants hereof. Tenant agrees to indemnify and hold harmless the Landlord from and against any costs for the removal and storing of livestock and crops elsewhere incurred by the Landlord under the provisions of this paragraph.

14. Miscellaneous Provisions

Time is of the essence of this Lease Agreement and of all provisions herein.

This Lease Agreement shall be construed and enforced in accordance with the laws of the State of Colorado.

If any provisions of this Lease Agreement shall be declared invalid or unenforceable, the remainder of the Lease Agreement shall continue in full force and effect.

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Notwithstanding anything to the contrary contained herein, Landlord's liability under this Lease Agreement shall be limited to Landlord's interest in the Leased premises.

15. Payment of Attorney's Fees and Costs

In the event of litigation concerning the provisions of this Lease, the prevailing party shall be entitled to recover reasonable attorneys fees from the other party to this Lease.

16. Venue

This Lease shall be governed by the laws of the State of Colorado. Venue for any action brought under this Lease shall be the Boulder District Court.

17. Entire Agreement

This Lease contains the entire agreement of the parties and may not be altered or amended except by mutual written agreement signed by both parties.

18. Counterparts

This Lease may be executed in any number of counterparts, each of which shall be deemed an original, and all of which shall constitute one and the same agreement.

[Remainder of page intentionally left blank]



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IN WITNESS WHEREOF, the parties hereto have executed this Lease Agreement on the date set forth opposite their respective signatures.

LANDLORD

COUNTY OF BOULDER, a body
corporate and politic

By:

Jana L. Mendez, Chair

ATTEST:

Susan M. Ashcraft
Clerk to the Board



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TENANT

CEMEX, INC., a Louisiana corporation

By: _____

ATTEST: _____



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EXHIBIT A

**(Attached to and forming a part of the Lease Agreement from County of Boulder, as
landlord to Cemex, Inc. as tenant)**

Description of the Property



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Exhibit B

**Attached to and forming a part of the Lease Agreement from County of Boulder, as
landlord to Cemex, Inc. as tenant)**

Map of Leased Premises